

China A-share strategy

Global Markets Research

25 August 2026

Equity Strategy

ETF inflows return in force since July

Stay balanced, pairing tech with defense

Large daily ETF inflows have returned since July

Since the sharp correction in A-shares began in July, equity ETFs have again recorded a series of sizable daily net inflows. According to Wind, there have been 12 trading days so far this year on which net ETF subscriptions exceeded 20bn units, all occurring during the correction since July. By comparison, there were only four such days in 2025. In terms of daily net subscriptions, July 3, July 20 and July 17 saw inflows of 61.44bn, 59.23bn and 50.45bn units, respectively, ranking as the second- to fourth-largest daily inflows since the "9/24" rally began in 2024. We believe the renewed inflows into equity ETFs may reflect a combination of policy-backed stabilization flows and the return of allocation-driven capital following the market decline.

As turnover fades, structural opportunities may re-emerge

The sharp swings since July suggest that risk appetite remains fragile. With turnover declining and market volatility still elevated, we believe a sustained uptrend may take time to re-emerge. Although A-share volatility has eased over the past two weeks, lingering geopolitical risks, still-high US Treasury yields and the need to unwind the crowded positioning built up before July's rapid correction could all prolong the consolidation, in our view. According to Wind, on August 21, total A-share turnover fell below CNY1.9tn, the lowest level since April 7, pointing to greater caution among market participants. From a fundamental perspective, we believe the broad industry trends that have driven A-shares over the past two years remain intact. In our view, the latest correction in global technology stocks has been driven more by geopolitical and macro concerns and an easing of crowded positioning than by a deterioration in the underlying industry trends. We therefore believe the correction could create another opportunity to build exposure to technology stocks. That said, until a clearer recovery trend emerges, we recommend maintaining a somewhat more defensive portfolio stance to limit the impact of further liquidity-driven volatility. Over the medium to long term, we believe the scale of China's capital markets and supportive policy backdrop should create opportunities for investors to generate long-term excess returns through a more diversified allocation to A-shares. Low domestic interest rates also enhance the relative appeal of dividend-paying stocks. If risk appetite remains unsettled and volatility stays high, their lower-volatility characteristics should continue to provide useful portfolio defense, in our view.

Balance technology exposure with defensive dividend holdings

In the near term, given overseas macro risks and the need for further consolidation as market turnover declines, we recommend a more balanced allocation strategy: (1) Within technology, focus on technology hardware, particularly memory, optical communications, power-supply systems, liquid-cooling equipment and gas turbines, where AI-driven demand is expanding but capacity remains constrained, as well as domestic computing hardware supported by policy tailwinds and robust industry demand; (2) Within dividend stocks, favor banks with modest capital requirements and the ability to sustain relatively high ROE and dividend yields; (3) Look for selective opportunities in domestic consumption and the property chain, where valuations have undergone substantial derating; and (4) Consider non-ferrous metals and energy, which could benefit if a weaker US dollar and resilient inflation persist. Over the medium to long term, we continue to favor the structural opportunities arising from China's industrial development. Once a clearer market uptrend is established, we would place greater emphasis on technology and dividend stocks within the allocation framework above. **Risks to our views:** Geopolitical tensions exceeding expectations; broader market downside; weaker-than-expected economic recovery.

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